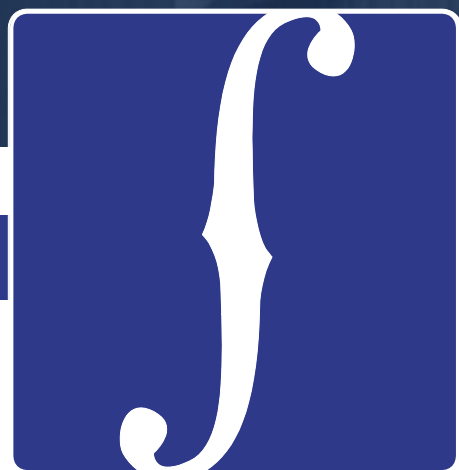




CELLO

LCR and GNMA CMO Issuance

October 2015

The **Liquidity Coverage Ratio (LCR)** aims to ensure that banks have an adequate store of **high-quality liquid assets (HQLA)** that can be easily and immediately converted into cash in order to meet liquidity needs for a 30 calendar day stress scenario. The stress scenario is specified by the appropriate regulatory bodies.

The Basel Committee calls for the LCR to remain at or above 100%, except during a pronounced period of stress, when liquidity can be temporarily drawn down.

## High-quality Liquid Assets (HQLA)

HQLA assets are characterized as being more likely to generate funds (cash) without incurring large discounts in a “fire-sale” stress environment

## Total Net Cash Flows (NCOF)

Total expected cash outflows minus total expected cash inflows in the specified stress scenario for the subsequent 30 calendar days

## Liquidity Coverage Ratio (LCR)

- $LCR = \frac{HQLA}{30 \text{ calendar day } NCOF} \geq 100\%$
- HQLA consists of Level 1 and Level 2 assets
- HQLA restrictions:
  - 15% Haircut on Level 2A assets, 25-50% Haircut on Level 2B assets
  - After haircuts, Level 2 assets capped at 40% of HQLA, Level 2B assets capped at 15% of all Level 2

### Level 1 assets

(1) % of Total Assets  $\geq 60\%$

(2) Haircut = 0%

### Level 2

(1) % of Total Assets  $\leq 40\%$

#### Level 2a

(1) Haircut = 15%

#### Level 2b

(1) % of Total Assets  $\leq 15\%$

(2) Haircut = 25-50%

Assets are considered to be HQLA if they can be easily and immediately converted into cash at little or no loss of value. The liquidity of an asset depends on the underlying stress scenario, the volume that needs to be sold, and the time frame involved. HQLA assets are expected to more or less retain their liquidity (i.e., not suffer from a substantial price discount) even in a fire-sale stress scenario.

HQLA assets must be **unencumbered** -- free of legal, regulatory, contractual, or other restrictions on the ability of the bank to liquidate, sell, transfer, or assign the asset.

HQLAs cannot be pledged to secure, collateralize, or credit-enhance any transaction, nor be designated to cover operational costs (such as rents or salaries).

## HQLA DEFINITIONS

### Level 1

- Cash (Coins and banknotes)
- Central bank reserves, including required reserves, to the extent that central bank policies allow them to be drawn down in times of stress
- Marketable securities representing claims on or guaranteed by sovereigns, central banks, multilateral development banks, or other public sector entities, if they are assigned a 0% risk weighting under the Basel II framework and meet other qualifying conditions (**U.S. Treasuries, GNMA MBS**)

### Level 2A

- Marketable securities representing claims on or guaranteed by sovereigns, multilateral development banks, or other public sector entities if they been assigned a 20% risk weight under the Basel II framework and meet certain other qualifying conditions (**FN/FH MBS**)
- Corporate debt securities, including commercial paper, and covered bonds that have received a minimum AA- credit rating or the equivalent, if they have *not* been issued by a financial institution and meet certain other qualifying conditions

### Level 2B

- RMBS where the underlying mortgages have an average maximum LTV of 80% at issuance and where the securitizations are subject to “risk retention” regulations
- Corporate debt securities, including commercial paper, if they have not been issued by a financial institution , have received the equivalent of between an A+ and BBB-crediting rating, and meet other qualifying conditions.
- Common equity if it has *not* been issued by a financial institution, is exchange traded and centrally cleared, and meets other qualifying conditions

The tables show a time series of Level 1 (Reserves, GNMA MBS, and Treasuries) and Level 2 (Fannie Mae/Freddie Mac MBS) assets for banks with total assets more than \$250bb and banks with assets between \$50-250bb respectively. The total HQLA is calculated by applying a 15% haircut to Level 2 assets and adding them to Level 1 assets.

The tables show that:

- (1) Small banks have a significantly lower share of HQLAs
- (2) There has been no discernible difference in the behavior of large banks wrt GNMA's since the implementation of LCR. However, small banks have been ramping up their holdings of GNMA's.

### HQLA ASSET GROWTH FOR U.S. BANKS

#### Banks with total assets > \$250bb

| As of                               | Cash/Reserves<br>(Level 1) | GNs<br>(Level 1) | Tsy<br>(Level 1) | FN/FH<br>MBS<br>(Level 2) | Total<br>HQLA | Total<br>Assets | HQLA as<br>% of<br>assets |
|-------------------------------------|----------------------------|------------------|------------------|---------------------------|---------------|-----------------|---------------------------|
| 3Q2013                              | 1,083                      | 243              | 87               | 433                       | 1,938         | 7,503           | 26%                       |
| 4Q2013                              | 1,090                      | 250              | 104              | 428                       | 1,808         | 7,553           | 24%                       |
| 1Q2014                              | 1,157                      | 254              | 144              | 424                       | 1,915         | 7,636           | 25%                       |
| 2Q2014                              | 1,240                      | 251              | 176              | 418                       | 2,023         | 7,807           | 26%                       |
| 3Q2014                              | 1,289                      | 248              | 246              | 431                       | 2,150         | 7,927           | 27%                       |
| 4Q2014                              | 1,310                      | 248              | 293              | 436                       | 2,221         | 8,101           | 27%                       |
| 1Q2015                              | 1,359                      | 254              | 295              | 460                       | 2,300         | 8,194           | 28%                       |
| 2Q2015                              | 1,235                      | 252              | 302              | 484                       | 2,199         | 8,090           | 27%                       |
| <b>Change<br/>since Q2<br/>2014</b> | -6                         | 0                | 126              | 65                        | 177           | 284             | 0                         |

#### HQLA assets as a % of total assets

| As of  | Cash/Reserves<br>(Level 1) | GNs<br>(Level 1) | Tsy<br>(Level 1) | FN/FH<br>MBS<br>(Level 2) | Total<br>HQLA |
|--------|----------------------------|------------------|------------------|---------------------------|---------------|
| 3Q2013 | 14.4%                      | 3.2%             | 1.2%             | 5.8%                      | 24.6%         |
| 4Q2013 | 14.4%                      | 3.3%             | 1.4%             | 5.7%                      | 24.8%         |
| 1Q2014 | 15.1%                      | 3.3%             | 1.9%             | 5.5%                      | 25.9%         |
| 2Q2014 | 15.9%                      | 3.2%             | 2.3%             | 5.4%                      | 26.7%         |
| 3Q2014 | 16.3%                      | 3.1%             | 3.1%             | 5.4%                      | 27.9%         |
| 4Q2014 | 16.2%                      | 3.1%             | 3.6%             | 5.4%                      | 28.2%         |
| 1Q2015 | 16.6%                      | 3.1%             | 3.6%             | 5.6%                      | 28.9%         |
| 2Q2015 | 15.3%                      | 3.1%             | 3.7%             | 6.0%                      | 28.1%         |

#### Banks with total assets between \$50-\$250bb

| As of                               | Cash/Reserves<br>(Level 1) | GNs<br>(Level 1) | Tsy<br>(Level 1) | FN/FH<br>MBS<br>(Level 2) | Total<br>HQLA | Total<br>Assets | HQLA as<br>% of<br>assets |
|-------------------------------------|----------------------------|------------------|------------------|---------------------------|---------------|-----------------|---------------------------|
| 3Q2013                              | 257                        | 124              | 48               | 124                       | 539           | 2,701           | 20%                       |
| 4Q2013                              | 256                        | 136              | 65               | 122                       | 560           | 2,748           | 20%                       |
| 1Q2014                              | 280                        | 141              | 66               | 126                       | 595           | 2,789           | 21%                       |
| 2Q2014                              | 261                        | 145              | 63               | 130                       | 580           | 2,834           | 20%                       |
| 3Q2014                              | 291                        | 149              | 59               | 135                       | 614           | 2,884           | 21%                       |
| 4Q2014                              | 286                        | 153              | 66               | 134                       | 618           | 2,942           | 21%                       |
| 1Q2015                              | 293                        | 165              | 60               | 139                       | 636           | 3,006           | 21%                       |
| 2Q2015                              | 282                        | 171              | 58               | 141                       | 631           | 3,043           | 21%                       |
| <b>Change<br/>since Q2<br/>2014</b> | 21                         | 26               | -5               | 11                        | 52            | 209             | 0%                        |

#### HQLA assets as a % of total assets

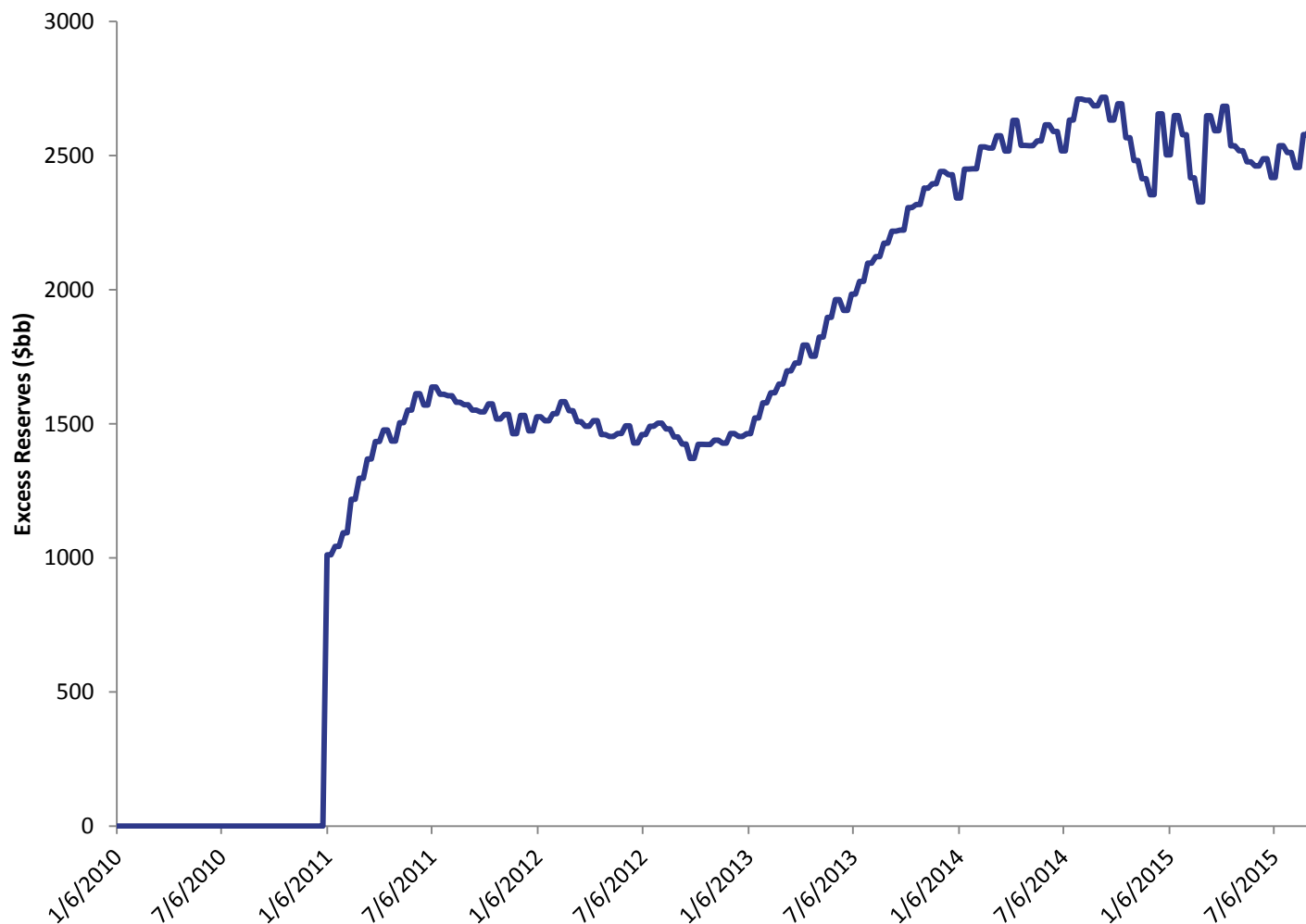
| As of  | Cash/Reserves<br>(Level 1) | GNs<br>(Level 1) | Tsy<br>(Level 1) | FN/FH<br>MBS<br>(Level 2) | Total<br>HQLA |
|--------|----------------------------|------------------|------------------|---------------------------|---------------|
| 3Q2013 | 9.5%                       | 4.6%             | 1.8%             | 4.6%                      | 20.5%         |
| 4Q2013 | 9.3%                       | 5.0%             | 2.3%             | 4.4%                      | 21.1%         |
| 1Q2014 | 10.1%                      | 5.1%             | 2.4%             | 4.5%                      | 22.0%         |
| 2Q2014 | 9.2%                       | 5.1%             | 2.2%             | 4.6%                      | 21.1%         |
| 3Q2014 | 10.1%                      | 5.2%             | 2.0%             | 4.7%                      | 22.0%         |
| 4Q2014 | 9.7%                       | 5.2%             | 2.2%             | 4.5%                      | 21.7%         |
| 1Q2015 | 9.8%                       | 5.5%             | 2.0%             | 4.6%                      | 21.8%         |
| 2Q2015 | 9.3%                       | 5.6%             | 1.9%             | 4.6%                      | 21.4%         |

About 45-60% of Level 1 assets held by banks continue to be Reserves/Cash. As the figure shows, the U.S. domestic banking system currently holds more than \$2.5 trillion in excess reserves. As the Fed starts to reduce its balance sheet over the next few years, the implication is that reserves will decline and need to be replaced by either Treasuries or GNMA's.

These GNMA's will likely correspond to short vanilla CMO's since they have to be reasonable cash-substitutes.

However, conventional wisdom holds that the Fed will not be able to reduce its balance sheet through sales (in order not to roil UST and MBS markets) and will pursue a strategy that focuses on ceasing to roll securities as they mature and on raising IOER. In this scenario, reduction in excess reserves is expected to be very gradual.

### EXCESS RESERVES FOR U.S. BANKS (January 2010 – September 2015)



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